

Employing in Japan

Employment Contracts

All employees must receive a written contract specifying role, location, hours, salary, and termination conditions. Employment Hero prepares bilingual (English/Japanese) contracts compliant with the Labor Standards Act.

- **Contract type:** Indefinite-term is standard for full-time hires. Fixed-term contracts max out at 3 years.
- **Probation:** Typically 3–6 months. After the first 14 days, full dismissal protections apply.
- **Language:** Regulatory filings must be in Japanese – Employment Hero handles this.

Pay, Payroll & Tax

Payroll runs monthly, typically paid on the 25th by bank transfer in JPY. Employment Hero processes payroll, withholds all taxes, and handles the annual year-end tax adjustment (nenmatsu chosei).

Payroll cycle	Monthly (paid ~25th of each month in JPY)
Income tax	Progressive 5%–45% national rate + ~10% local inhabitant tax
Employer social costs	15.67% on top of gross salary (see breakdown below)
Bonuses	Not legally required, but biannual bonuses (June & December) are a strong cultural expectation — typically 2–6 months' combined salary
Minimum wage	JPY 1,121/hr national average (Tokyo: JPY 1,226/hr) — reviewed each October

Employer contribution breakdown:

Contribution	Employer Rate	Notes
Health Insurance	4.955%	Tokyo rate; varies by prefecture
Employee Pension	9.15%	Fixed nationally since 2017
Unemployment Insurance	0.9%	
Workers' Accident Compensation	0.3%	Fully employer-funded
Child/Childcare Contribution	0.36%	Employer-only
Total	15.665%	

Leave Entitlements

Leave Type	Entitlement	Pay
Annual Leave	10 days after 6 months; scales to 20 days at 6.5+ years. Employees must take at least 5 days — this is a legal obligation.	Full pay
Sick Leave	No statutory entitlement. If absent 4+ consecutive days, health insurance pays from day 4.	~67% via insurance
Maternity (prenatal)	6 weeks before due date (14 weeks for multiples)	~67% via health insurance
Maternity (postnatal)	8 weeks – first 6 weeks are mandatory rest	~67% via health insurance
Paternity	Up to 4 weeks within 8 weeks of birth; can be split into 2 periods	~67% via employment insurance
Childcare Leave	Until child turns 1 (extendable to age 2 if childcare unavailable)	67% for first 180 days, then 50%
Public Holidays	16 national holidays in 2026 (18 including substitutes). Work on these days = 135% pay.	Full pay

Termination

Japan has very strong dismissal protections. Termination must have objectively reasonable grounds – Employment Hero manages the entire process to keep you protected.

- **Notice period:** 30 calendar days for all employees (after the first 14 days). You can pay in lieu of notice.
- **Economic dismissals:** Must pass a four-factor legal test: genuine business need, efforts to avoid redundancy, fair selection criteria, and employee consultation.
- **Severance:** Not legally required, but voluntary retirement allowances (taishoku-kin) are common – typically 1 month's salary per year of service. Once in the work rules, it becomes legally binding.
- **Protected employees:** Pregnant employees, those on parental leave, and workers on work-injury absence cannot be dismissed.

What Employment Hero Handles For You

Onboarding	Bilingual contracts, social insurance registration, payroll setup – typically within 1–2 weeks
Payroll & tax	Monthly payroll processing, all withholdings, year-end tax adjustment, annual reporting
Leave management	Leave tracking, mandatory 5-day usage compliance, parental leave administration
Visa sponsorship	Certificate of Eligibility applications and renewals via our registered Japan entity

Offboarding	Full termination compliance – notice, process documentation, deregistration from social insurance
Ongoing compliance	Regulatory changes monitored and applied automatically (e.g., minimum wage updates each October)

Questions about your Japan hire?

Reach out to your Employment Hero account manager – we'll handle the rest.
